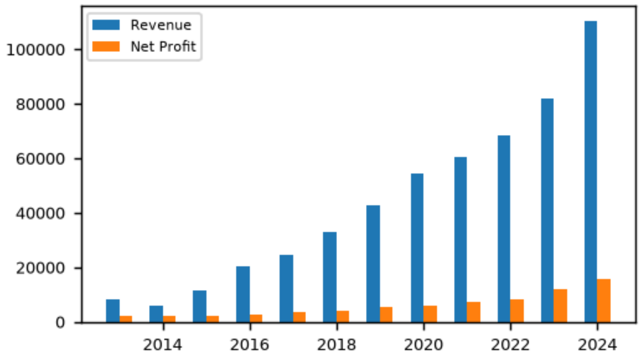
Bajaj Finserv Ltd (BAJAJFINSV)

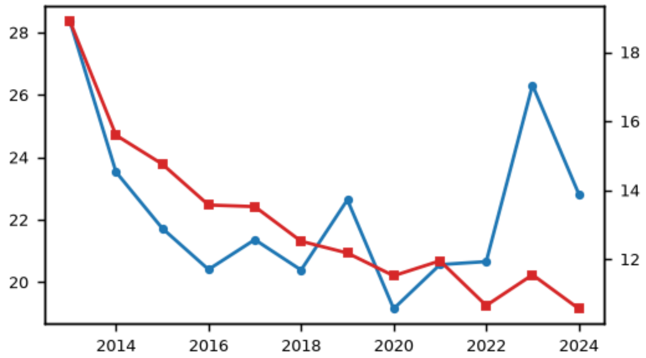
Financials · Fiscal Year 2024

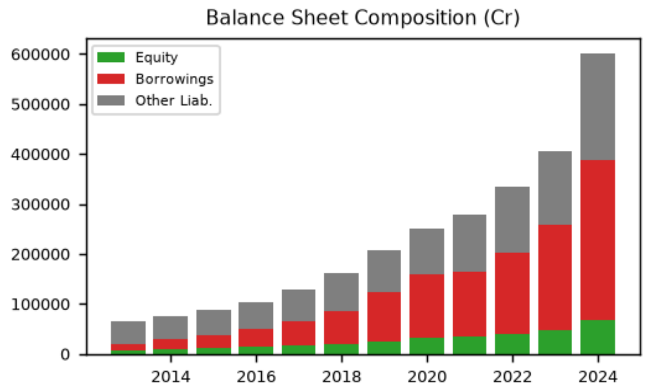
ROE 22.8%	**ROCE** 10.6%	**Net Profit Margin** 14.1%
D/E 4.7	**Revenue CAGR 5yr** 21.0%	**FCF (Cr)** -79,634

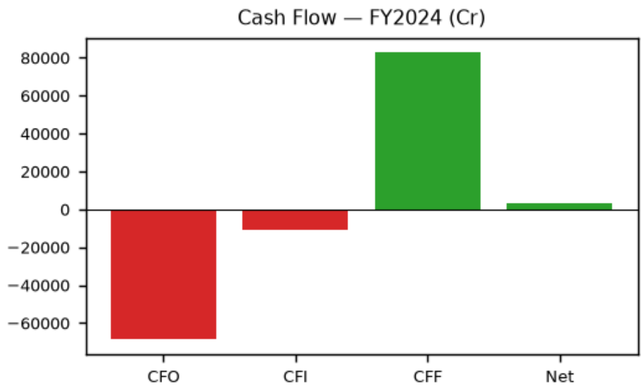
Revenue & Net Profit (Cr)



ROE vs ROCE







Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation: Growth Funded by Debt